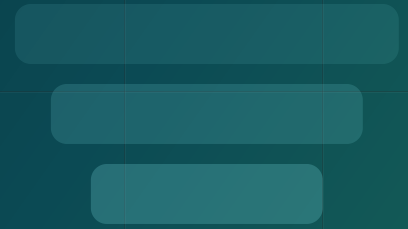




CLEAN FUTURE
INTERNATIONAL



VOLUME II • SEPTEMBER 2026

Funding & Sustainability Model

How CFI funds its projects — and how CFI funds itself

Companion to the CFI 2.0 Strategic Framework & Master Model. Covers the three money layers, full cost recovery, reserves policy, the funding pipeline and the funding red lines.



THE PRINCIPLE THIS VOLUME ADDS

CFI requires every asset to be funded for its whole life. **The same standard applies to the organization that maintains them.**

NAVIGATE THIS VOLUME

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ON THE FIGURES IN THIS VOLUME

Every number shown is a **worked illustration** using placeholder rates, not a CFI budget. The structures, ratios and policies are real recommendations; the amounts are there to show how the arithmetic behaves. Replace them with CFI's actual cost base before this document is used with a funder or a trustee.

RELATIONSHIP TO VOLUME I

Volume I, Part V sets out how a **project** is financed across its life. This volume sets out how the **organization** is financed — core costs, cost recovery, reserves and the pipeline that supplies them.

THE TEST THIS VOLUME HAS TO PASS

Could CFI keep every asset it has built working for twelve months if no new grant arrived? Until the answer is yes, the organization is not yet as sustainable as the infrastructure it builds.

01

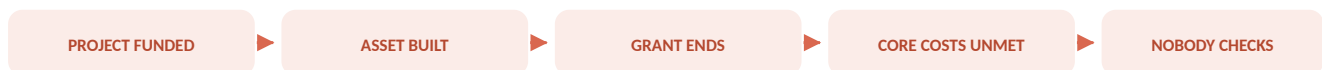
Why CFI Needs a Funding Model of Its Own

Volume I is firm that no asset should be built without a funded plan for its whole life. Applied consistently, that standard points back at CFI.

A project can be perfectly financed — capital raised, operating costs covered, maintenance reserve funded — and still fail, because the organization that holds the operator agreement, runs the inspections, chases the repair and files the report has run out of money. Project finance and organizational finance are different problems, and only the first is solved by grants for projects.

The failure this volume prevents

THE QUIET FAILURE MODE



The asset was funded. The organization that was supposed to keep it working was not.

Restricted project income cannot pay for the function that makes restricted projects work.

Oversight, inspection, accounting, safeguarding and reporting are organizational costs — they must be funded as such.

What is missing, specifically

No cost-recovery rate. Project budgets currently carry direct project costs only. The staff time, systems, audit and governance that make delivery possible are unfunded by default.

No unrestricted income strategy. Nothing yet identifies where flexible money comes from — and flexible money is what pays for the first six months of anything.

No organizational reserve. Volume I funds maintenance reserves per asset. It does not hold a reserve for CFI itself, which is what absorbs a delayed grant.

No concentration limit. Nothing prevents a single funder becoming the condition on which every asset's maintenance silently depends.

This volume closes those four gaps and nothing else. It does not revisit project finance, which Volume I Part V already covers.

02

The Three Money Layers

CFI handles three distinct kinds of money. They have different sources, different rules and different failure modes, and the most common cause of trouble in organizations like CFI is treating them as one pot.

Each layer must be able to name its own income. A layer that can only be funded by borrowing from another is not funded — and the borrowing is almost always in one direction: from the money meant to keep assets working, toward the cost of running the office.

Layer 1

PROJECT CAPITAL

Building the asset

One-off, restricted, tied to a named project: design, procurement, construction, commissioning, equipment. Raised project by project. Ends when the asset enters service.

Fails by: being raised without Layer 2 in place.

Layer 2

PROJECT
OPERATING

Keeping the asset working

Recurring, asset-specific: operator, utilities, cleaning, consumables, routine and corrective maintenance, and the maintenance reserve for renewal. Runs for the asset's life.

Fails by: being assumed rather than funded.

Layer 3

CFI CORE

Running the organization

Recurring, not attributable to one project: governance and audit, safeguarding, financial management, technical standards, the registries, monitoring, fundraising and leadership.

Fails by: having no dedicated income at all.

How the layers relate

LAYER 1 • PROJECT CAPITAL — finite, restricted, ends at commissioning

grows with the portfolio

LAYER 2 • PROJECT OPERATING — recurring for the life of each asset

accumulates with every asset

LAYER 3 • CFI CORE — recurring for the life of the organization

must exist before Layer 1 does

Layer 3 is the only layer that must be funded **before** there is anything to show a funder. That is what makes it hard, and why it needs a deliberate strategy rather than a hope that project grants will stretch.

03

Income Architecture

Six income types, each suited to particular layers. The discipline is not to maximise any one of them but to ensure no layer is left with no source that can legitimately reach it.

The column that matters most is the second. A source that cannot lawfully reach Layer 3 — however large — does nothing for the organization's own sustainability, and treating it as though it does is how a well-funded charity becomes insolvent.

INCOME TYPE	REACHES	CHARACTER AND CONSTRAINT
Restricted project grants	L1, some L2	Largest single source. Tied to a named project and period. Will usually fund a defined share of overhead <i>if</i> CFI asks for it correctly — see Section 04.
Unrestricted giving	L1 · L2 · L3	Individual donors, regular givers, diaspora and community fundraising, unrestricted trust grants. The most flexible and the hardest to raise. The only reliable source for Layer 3.
Cost recovery	L3	Not a separate gift — an overhead share charged inside every project budget. Converts restricted income into partial core funding, legitimately and transparently.
Corporate and CSR	L1 · L2 · L3	Often flexible where a genuine partnership exists rather than sponsorship of a single build. Can carry multi-year commitments that suit Layer 2.
Earned income	L2 mainly	Facility-related revenue at the asset: user fees where appropriate, kiosk or space rental, advertising. Protects the asset; rarely reaches Layer 3 in early years.
In-kind and pro bono	L1 · L3	The professional network's technical review, design input and mentoring. Real value that reduces cost — recorded and valued, never counted as cash.

The structural point. Only two sources reach Layer 3 at any scale: unrestricted giving and cost recovery. Everything in Sections 04 and 06 exists to make those two work, because if they do not, Layer 3 is paid for by quietly under-delivering somewhere else.

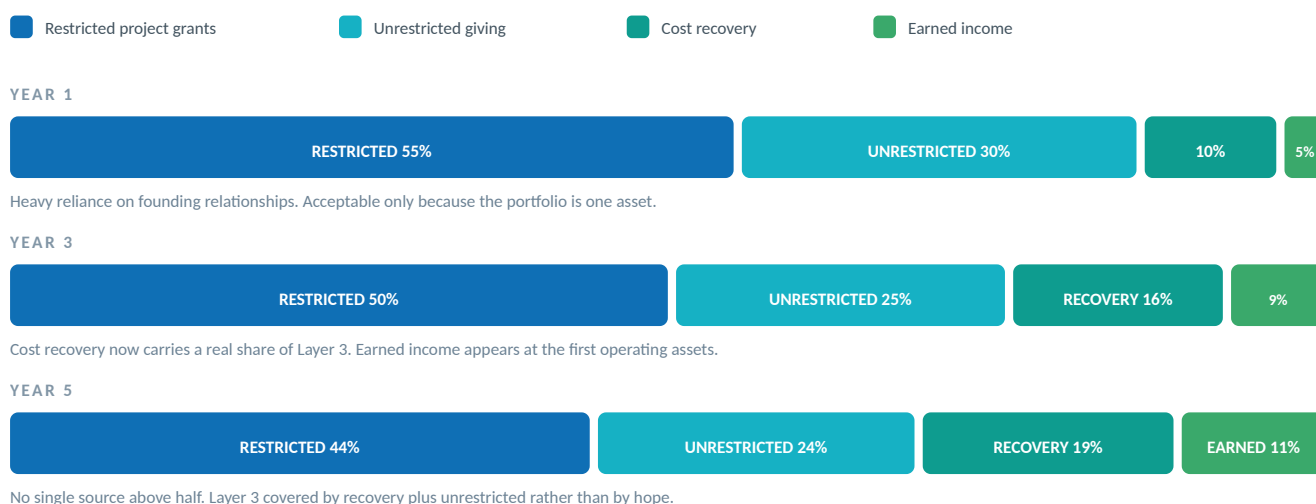
SECTION 03 CONTINUED

Income Mix and Dependency

A funding model is judged less by its total than by its shape. Two organizations raising the same amount can have completely different risk profiles.

The direction of travel matters more than any single year's percentages: restricted income falling as a share, cost recovery rising as project volume grows, and earned income appearing only once assets are actually operating and their revenue has been observed rather than assumed.

Illustrative mix at each horizon worked illustration



Shape is also what a trustee is accountable for. A board can reasonably be asked why income is concentrated; it can rarely be blamed for a total that fell short.

Two dependency limits worth adopting now

Single-funder limit

No one funder should provide more than **40%** of total income once CFI is past its founding year, and never more than **50%** of Layer 3. Above that, the funder's internal reorganization becomes CFI's crisis.

Unrestricted floor

Unrestricted income plus cost recovery should cover **at least 100%** of Layer 3 core cost. Below that, core is being subsidised from project money — which is both a control failure and, depending on grant terms, a breach.

04

Full Cost Recovery

Cost recovery is the mechanism that lets restricted project income legitimately carry a share of the organization that delivers it. It is not a fee, a margin or a hidden charge — it is the true cost of the project, stated in full.

Under-recovering is not modesty. A project delivered at 85% of its true cost is quietly subsidised by whoever funded the other 15% — usually an unrestricted donor who was told their money would go somewhere else.

The three cost categories

Direct project costs

Spent only because this project exists: construction, materials, contractor payments, site supervision, commissioning, equipment, community engagement for this site.

Directly attributable support

Staff and services measurably used by this project: engineering design hours, procurement management, project accounting, monitoring visits, safeguarding checks for this site.

Apportioned overhead

Costs that make all projects possible but belong to none: governance and audit, insurance, leadership, financial systems, the registries, fundraising, policy and standards.

The first is always budgeted. The second is usually missed. The third is almost never asked for — which is precisely why Layer 3 goes unfunded.

The method: apportion by a defensible driver

Overhead is allocated to projects by a single, documented driver that a funder or auditor can check. CFI should use **direct project cost** as the driver in early years — it is simple, auditable and moves with scale — and review it once staff timesheets give a more accurate picture.



The same rate is applied to every project in a year, published in the budget line, and recalculated annually from actual accounts.

Say it out loud in the budget. A budget line reading "Organizational cost recovery at X% — governance, audit, financial management, technical standards and monitoring" is accepted far more often than a hidden uplift, and it survives due diligence. Funders who refuse it in full will often fund part of it; funders who are never asked fund none of it.

SECTION 04 CONTINUED

How the Arithmetic Behaves

The figures below are a **worked illustration** chosen to show the mechanics at an early-stage scale. Replace every number with CFI's actual accounts before use.

Step 1 — Establish the rate from the annual accounts

LINE	ILLUSTRATIVE	NOTE
Annual apportionable overhead	£48,000	Governance, audit, insurance, finance, systems, standards, fundraising
Total direct project cost that year	£320,000	Across all projects delivered in the year
Recovery rate	15.0%	$48,000 \div 320,000$ — applied to every project budget

Step 2 — Build the project budget at full cost

PROJECT 001 BUDGET LINE	ILLUSTRATIVE	SHARE
Direct project cost	£80,000	78.4%
Directly attributable support	£10,000	9.8%
Organizational cost recovery @ 15%	£12,000	11.8%
Total ask	£102,000	100%

Note what the ask does **not** include: the Layer 2 operating and maintenance plan is budgeted and funded separately, because it recurs for the asset's life and cannot sit inside a capital grant that ends at commissioning.

Step 3 — Check what it actually covers

LAYER 3 COVERAGE AT THIS ILLUSTRATIVE SCALE

RECOVERY £12k	remaining core cost to be met from unrestricted income
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With one project in the year, recovery meets one quarter of the £48,000 overhead. The other £36,000 must come from unrestricted giving.

This is the number that belongs in the Year 1 fundraising target — and it is the one most often forgotten.

05

Reserves Policy

CFI holds two reserves that are never mixed and never borrowed between. Confusing them is how an organization discovers, at the worst moment, that the money set aside to replace a pump has been spent on salaries.

Both are reserves in the ordinary sense — money held back rather than spent — but they answer different questions. One asks whether a specific asset can be renewed. The other asks whether CFI can survive a quarter in which nothing arrives.



Asset maintenance reserve

Purpose: planned renewal and major repair of a specific asset.
Held: per project, tracked against the Asset Registry.
Funded by: Layer 2 income — operating grants, earned income, subsidy.
Rule: may only be spent on the asset it belongs to.



Organizational free reserve

Purpose: absorb a delayed grant, an unexpected cost or an orderly wind-down.
Held: once, centrally, unrestricted.
Funded by: unrestricted income and cost recovery surplus.
Rule: measured in months of core cost, not as a cash figure.

Setting the free-reserve target

The target is the number of months CFI could meet Layer 3 commitments with no new income. It should rise as the portfolio grows, because more assets mean more obligations that cannot simply be paused.



Targets are illustrative and directional. The Board sets the figure annually against actual core cost, portfolio obligations and income certainty.

Below target, CFI does not start a new project — it rebuilds the reserve first.

SECTION 05 CONTINUED

Reserves in Practice

A reserves policy that exists only in a document is not a reserve. Three mechanics make it real.

- 1

Separate accounts, not separate columns

Maintenance reserves are held in a designated account per the Financial Registry, not merely labelled inside a general balance. A reserve that shares a bank account with payroll will eventually pay payroll.
- 2

A funded rate, set at approval

Each asset's maintenance reserve contribution is calculated at Gate 4 from its expected useful life and renewal cost, and is a condition of approval — not a contribution made when there happens to be a surplus.
- 3

A trigger, not an annual review

If the free reserve falls below target, a defined response follows within the month: pause new project commitments, report to the Board, and agree a rebuild plan. The trigger is written down before it is needed, because judgement under financial pressure is unreliable.

What each reserve is allowed to do

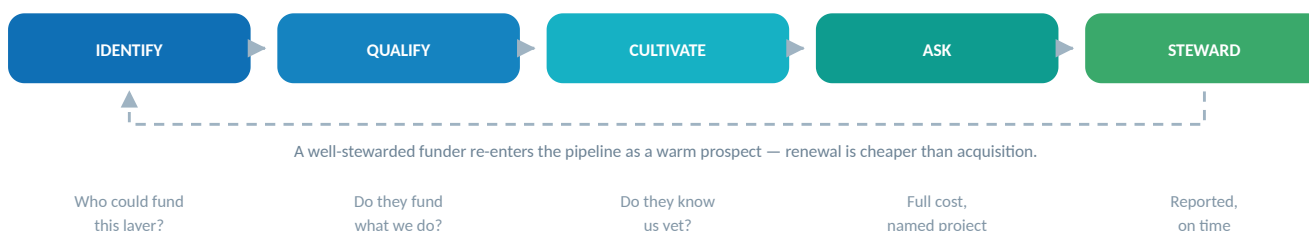
SITUATION	MAINTENANCE RESERVE	FREE RESERVE
Pump fails at Project 001	Yes — this is its purpose	No
Pump fails at Project 002	No — wrong asset	Only as a documented loan, repaid
Grant arrives three months late	No	Yes — this is its purpose
Opportunity to start a new project	No	No — reserves are not working capital

The honest version of a reserves policy names what the reserve may not be used for. Most reserves are not depleted by disasters; they are depleted by reasonable-sounding exceptions.

06 The Funding Pipeline

Fundraising is a lifecycle with gates, exactly like a project. Treating it as a series of applications is why small organizations experience income as weather rather than as a managed process.

Each stage has an exit test, and prospects that fail one are removed rather than carried. A pipeline that only grows is a list; a pipeline that loses prospects at every stage is a forecast.



The two disciplines that make it work

Qualify ruthlessly

Most wasted fundraising effort goes into funders who were never going to fund this. Qualify on four tests before any cultivation: do they fund infrastructure, do they fund in Ghana, do they fund organizations of CFI's size, and do they fund overhead?

Steward as seriously as you ask

Reporting on time, in the funder's format, with honest variance explanations, is the single highest-return fundraising activity available to an early-stage organization. It is also the one most often deprioritised when delivery gets busy.

Pipeline coverage rule. Qualified prospects in the pipeline should total at least **three times** the income target for the period. Below that, the target is not a plan — it is a wish with a deadline.

07

Funder Segments and What Each Expects

Different funders buy different things. The same project, described the same way to all of them, will convert with none of them.

CFI's lifecycle model is a genuine differentiator with every segment below — but only when it is translated into that segment's language. A trust hears risk reduction; a corporate hears a partnership that lasts; a major donor hears that their gift will still be working in ten years.

SEGMENT	BEST FOR	WHAT THEY ARE ACTUALLY BUYING	WHAT LOSES THEM
Trusts & foundations	L1 · L3	A well-evidenced problem, a credible delivery plan and a governed organization. Many will fund overhead if asked properly.	Vague need, no baseline, no audited position, hidden costs.
Institutional / public programmes	L1	Alignment with a published strategy, compliance capability, and the capacity to absorb reporting requirements.	Weak controls, no local registration, thin audit trail.
Corporate & CSR	L1 · L2 · L3	A relationship with visible outcomes, employee engagement and a story they can stand behind for several years.	One-off sponsorship framing; nothing to sustain the relationship after the photograph.
Major donors	L1 · L3	Proximity to a specific result and to the people delivering it. The most likely source of genuinely unrestricted money.	Being treated as a transaction; slow or generic reporting.
Diaspora & community	L3	Connection to place, and regular giving that compounds. Small individually, structurally valuable.	No regular-giving mechanism; campaigns with no follow-up.
Earned income	L2	Not a funder — a revenue stream at the asset that reduces dependency and must be validated before it is relied on.	Optimistic assumptions that were never tested in operation.

The early-stage sequence. Major donors and trusts before institutional funders: the first two can fund an organization on the strength of its plan and its people, the third generally needs a track record and compliance machinery CFI will not have in Year 1.

08

What Funders Test Before They Give

Due diligence is predictable. Everything on this list can be prepared before it is asked for, and having it ready is itself a signal.

Most of this list is a by-product of work Volume I already requires. The gap between having good governance and being able to evidence it in an afternoon is usually just filing.

Governing document and registration

Board list, roles and conflicts register

Most recent accounts or opening position

Reserves policy — the one in Section 05

Safeguarding policy and named lead

Procurement policy and approval limits

Segregation-of-duties arrangement

Risk register with named owners

Project budget at full cost

Operating and maintenance plan for the asset

Baseline data and how impact is measured

Evidence of local partnership and permissions

The three that decide it

Can they lose money here?

Controls, segregation of duties, and a traceable route from a payment to an invoice to a decision. Volume I Section 17 exists largely to answer this question.

Will it still work in three years?

A named operator, a funded maintenance plan and a reserve. CFI's whole model is an answer to this, which is a genuine competitive advantage — if it is stated plainly in the application.

Will they hear the truth?

Whether CFI reports a problem before it is discovered. Nothing builds a funder relationship faster than an early, unprompted account of something going wrong.

Assemble the pack once. A single due-diligence folder, kept current and versioned, converts a three-week scramble into a same-day response — and turns CFI's governance work from a cost into a fundraising asset.

09

Restricted Funds and Traceability

Restricted income is money held on trust for a stated purpose. Spending it on something else — even something good, even temporarily — is a breach, not an administrative slip.

This is also the control funders examine most closely, because it is the one that most reliably predicts the others. An organization that can trace a single payment back to the decision that authorised it is usually sound elsewhere too.

The traceability chain



Any payment can be walked back to the funder whose money paid for it, and any funder's money can be walked forward to what it bought.

If either direction cannot be demonstrated on demand, the control has failed — regardless of whether anything was misspent.

Four rules that hold the chain together

One code per fund, one ID per project. Assigned at award and at Gate 0 respectively, never reused, never merged for convenience.

No cross-subsidy without a written decision.

Where one fund temporarily covers another, it is a documented, approved and repaid internal loan — or it does not happen.

Unspent restricted money is a liability. It is carried as a commitment and returned or re-agreed with the funder, never absorbed at year end.

The reporting calendar is set at award. Every grant's reporting dates enter the calendar the week the money is accepted, with a named owner.

This section is the financial half of Volume I Section 17.2 — segregation of duties. The controls only work together: a perfect fund-coding system administered by one person who also approves payments provides no assurance at all.

Funding Risks

Six risks specific to how CFI is funded, each with the early indicator that shows it arriving and the response agreed in advance.

Each risk is owned by a named person, reviewed quarterly, and entered in the organizational risk register alongside the project risks in Volume I Section 17.4. The response column is agreed in advance precisely because these risks arrive at moments when judgement is worst.

RISK	EARLY INDICATOR	AGREED RESPONSE
Concentration	One funder above 40% of income, or above 50% of core	Board-level diversification plan; no new restricted commitment from that funder until the share falls.
The restricted-only trap	Core cost coverage below 100% for two consecutive quarters	Raise the recovery rate at the next annual reset and redirect fundraising effort to unrestricted sources.
Revenue optimism	Earned income below 70% of the validated assumption	Reclassify the project's sustainability category (A→B, B→C) and fund the gap explicitly.
Commitment overhang	Layer 2 obligations growing faster than recurring income	Pause new starts. Every asset already built carries an obligation that outlives its grant.
Cross-border and currency	Transfer delays, FX movement, or correspondent-bank friction	Hold an agreed operating float in-country; budget an FX allowance; never let a transfer delay stop a maintenance payment.
Founder dependency	Most income traceable to one person's relationships	Document every relationship in the pipeline; introduce a second named contact to each major funder.

Five of the six are measurable from figures CFI will already be producing. Only founder dependency requires a judgement, which is why it is worth asking about explicitly rather than waiting for it to reveal itself.

The risk that is hardest to see is commitment overhang, because it looks like success. Each new asset adds a permanent obligation to a balance sheet that only counts the one-off grant which built it.

11

Funding Red Lines

The funding counterpart to Volume I Section 27. Eight refusals, written down now because each becomes tempting at a specific moment of pressure.

None of these are hypothetical. Each describes a decision that has ended otherwise capable organizations, and each will at some point look like the sensible, pragmatic choice.



CFI will not accept restricted funding that leaves core costs unfunded.

If a funder will not contribute to overhead and no other source covers it, the project is not affordable — however attractive it looks.



CFI will not build an asset without a funded Layer 2 plan.

Capital without an operating and maintenance plan creates a liability, not an asset.



CFI will not spend a maintenance reserve on anything but its own asset.

Including on another asset's emergency, except as a documented and repaid internal loan.



CFI will not treat reserves as working capital.

A reserve that funds operations is not a reserve; it is a deficit with a slower clock.



CFI will not include unvalidated revenue in an investment case.

A revenue assumption that has not been tested in comparable operating conditions is an estimate, and is labelled as one.



CFI will not accept funding conditional on overstating results.

Including pressure to report beneficiary numbers or impact claims the evidence does not support.



CFI will not start a project while the free reserve is below target.

The reserve is rebuilt first. This is the rule most likely to be argued with, which is why it is written here.



CFI will not delay reporting bad news to a funder.

Problems are reported when they are identified, not when they are solved.

Each red line has a control. Recovery rate, Gate 4, the Financial Registry, the reserve trigger, category reclassification, the Impact Registry, the Board calendar. A refusal without a control is only an intention — the same test applied in Volume I.

12 The 24-Month Funding Plan

Sequenced against Volume I Section 24.

Each phase has a single financial objective, and the phase is not complete until that objective is met — regardless of what the month is. The months are a guide to order, not a commitment to a date.

0–3
MONTHS

Establish the cost base and the case

Build the Layer 3 core budget for the year. Set the first cost-recovery rate. Adopt the reserves policy. Assemble the due-diligence pack in Section 08. Write the funding case from Volume I rather than from scratch.

Objective: know the real number CFI needs, and be able to evidence it.

3–6
MONTHS

Secure unrestricted before restricted

Approach major donors and unrestricted-friendly trusts first. Build the regular-giving mechanism. Qualify the trust and corporate pipeline to three times the Year 1 target.

Objective: Layer 3 covered for twelve months before Project 001 is committed.

6–12
MONTHS

Fund Project 001 at full cost

Raise Layer 1 with recovery included, and Layer 2 with its maintenance reserve contribution, as two clearly separated asks. Do not pass Gate 4 until both are in place.

Objective: an asset funded for its life, not for its opening.

12–24
MONTHS

Prove the model to funders, and build the reserve

Report on time and honestly. Publish the first operating-cost and functionality data. Convert stewardship into renewal. Reach the three-month free-reserve target.

Objective: a second project funded on evidence rather than on enthusiasm.

THE SEQUENCING POINT

Unrestricted money is raised first because it is the only money that can be spent on becoming fundable. Reversing this order is the most common early-stage mistake, and it is very difficult to recover from.

13

Decision Rules

The whole volume compressed into the rules that should be checkable by one person in one meeting. If CFI adopts nothing else from this document, it should adopt these.

All seven are binary. None requires a judgement call, an interpretation or a discussion about circumstances — which is the point, because every one of them will first be tested in circumstances that feel exceptional.

1

Every project budget carries the recovery rate

Stated as a visible line, recalculated annually from actual accounts.

2

Layer 2 is funded before Gate 4 is passed

Operating plan, maintenance schedule and reserve contribution — funded, not intended.

3

Core cost coverage is reported every quarter

Unrestricted income plus recovery, against Layer 3 cost. One number, on the Board agenda.

4

No funder above 40% of income

Or above 50% of core, past the founding year.

5

Free reserve below target pauses new starts

Automatic, not discretionary, with a rebuild plan to the Board within the month.

6

Reserves are never working capital

Neither reserve. No exceptions that are not documented, approved and repaid.

7

Pipeline covers three times the target

Measured in qualified prospects, reviewed monthly.

The one figure to put on every Board agenda

CORE COST COVERAGE

(unrestricted income + cost recovery) ÷ Layer 3 core cost

Below 100%, the organization is being subsidised by project money. Above 100%, the surplus builds the free reserve.



CLEAN FUTURE INTERNATIONAL

Funding & Sustainability Model

Volume II of the CFI 2.0 Strategic Framework. Every figure in this volume is a worked illustration using placeholder rates, included to show how the arithmetic behaves. Replace them with CFI's actual cost base before the document is used with a funder, a trustee or an auditor.

Still to build. This volume defines the model. Three instruments turn it into practice: a core-cost budget template, a lifecycle costing spreadsheet that produces the Layer 2 reserve contribution, and the due-diligence pack described in Section 08.

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